

RSIG Application Pitch

Verisk Analytics, Inc. (NASDAQ: VRSK)

SaaS data analytics provider for insurance companies with heavily discounted data moat

Business Description

Verisk Analytics, Inc. (NASDAQ: VRSK) is a global provider of data analytics to the insurance ecosystem, offering predictive analytics and decision support solutions to clients in rating, underwriting, claims, catastrophe, weather risk, and other fields. Founded in 1971 by an association of insurance companies, Verisk operates within the Insurance segment by developing and using machine learning/artificial intelligence models to forecast scenarios and product customized analytics that help customers better manage their businesses. Annual subscriptions or long-term agreements accounted for more than 80% of the company's revenues in 2024. With the sale of their businesses in the Energy, Specialized Markets, and Financial Services segments in 2022 and 2023, Verisk has concentrated on expanding its market share in the Insurance segment.

Positioned strategically to take advantage of developments in artificial intelligence without heavy capex, Verisk's proprietary data moat will expand its market share dominance in supporting the P&C insurance industry and catastrophe modeling.

Industry Overview

Verisk Analytics, Inc. operates within the Data & Analytics industry, a sub-industry within the Financials Sector, where companies provide data and analytical services used by financial institutions. This sector is determined by demand for data-driven solutions, regulatory requirements, and the need for forecasting made possible through data aggregation. The industry has a total market cap of \$380.46B and trades at an average P/E of 30.42, generating \$96.14B total revenue with \$24.62B attributed to the industry subset and achieving 36.62% year-over-year revenue growth in 2024. Verisk's major competitors are Moody's Corporation, LexisNexis Risk Solutions, and Guidewire Software Inc, with more concentrated competitors in specific lines or services.

Investment Thesis

Thesis 1: VRSK's valuation trades at a discount to peers despite mid-50% EBITDA margins, ~78%+ FCF conversion, and a revenue base insulated from macro cyclical.

Verisk's revenue is durable, as the company's profit stream will endure over time, unlike the previously assumed growth valuation relying on the rapid increase of the company's profit stream. The profit pool underlying Verisk is becoming increasingly based on insurance-embedded workflows, which inherently involve contractual pricing terms, sticky renewal cycles, and are either mandated by P&C regulation or operational necessity usage patterns. Accordingly, given that subscription revenue now comprises 81% of the company's revenue mix, quarterly transactional volatility is no longer determinative of the earnings profile.

Thesis 2: Current discount due to recent Anthropic news disregards Verisk's huge data moat and the switching costs and subpar products that customers would face

Verisk's product ecosystem houses 30 petabytes of data, including 34B+ premium and loss records and 1.8B+ claims. This is a huge moat compared to competitors, which gave them a P/E valuation of 3-5 times that of their competitors in the past. However, their P/E ratio is currently near the industry average and slightly below, suggesting an undervaluation. The market has priced in a decline in revenue due to recent AI developments, but it is overlooking the importance of Verisk's moat. The sheer quantity of data ensures that they have superior products to sell, on top of the costs incurred by their clients if they choose to stop purchasing

Key Ratios and Statistics

Recommendation	BUY
Market Cap	\$24,961M
52-Week Low	177.74
52-Week High	322.92
Share Price	177.74
Price/Earnings	25.8
EV/Sales	9.2x
EV/EBITDA	16.3x
Price/Book	66.26x

Trading

Average Volume	1,783M
50-Day Moving Average	217.57
200-Day Moving Average	259.04

Risk

Beta	0.78
Insider Ownership	0.26%

Price Chart - 1Y



services from Verisk. Additionally, Verisk also benefits from the development of these AI systems, as the huge AI capex from these companies allows Verisk to implement its own strategies while reducing expenditures.

Thesis 3: Blended fair value estimates imply at least a ~22%-34% total return potential by FY27, driven by margin persistence and earnings compounding rather than multiple expansion.

The two principal components of the company's profit stream, Underwriting Solutions and Claims Solutions, each exhibit different characteristics. Underwriting Solutions continues to compound via a combination of pricing realization and growing enterprise-level subscription revenues, while Claims Solutions exhibits significantly greater variability in its quarterly revenue due to the fact that it derives a greater percentage of its revenue from transactional fees that vary with the amount of catastrophe-related activity and/or changes in personal automobile shopping behavior. Finally, with respect to margin execution and free-cash-flow conversion, the company's operating model exhibits all of the characteristics of a scalable business model, supporting growth without material incremental cost pressure.

Applying a 22x EV/EBITDA multiple to Verisk, which represents a level that is currently in-line with Verisk's current TTM trading multiple, but below its five year (FWD) historical average of ~24x, yields an implied equity value of ~\$268/share in FY26e and ~\$295 in FY27e, resulting in ~22% to ~34% total return potential inclusive of dividends. This valuation does not take into account the street mismatch with the recent news regarding artificial intelligence, as the stock has declined 18% over the past 5 days. Assuming a conservative increase in stock price of 20% given the decrease in revenue from artificial intelligence does not occur, the new valuation would be significantly higher, beating the consensus target price of \$255.

Catalysts

1) Consistent Earnings

The most significant reason for the current discount that market is placing on Verisk is the fear that revenue will decrease as more and more insurance companies begin to incorporate artificial intelligence systems that will end their reliance on Verisk for its data analytics. This fear would be greatly alleviated when given strong earnings and growth across quarters consistently as artificial intelligence fails to disrupt the industry as much as the market fears it will.

2) Greater Revenue Abroad

Verisk has been attempting to increase its sources of revenue outside of the United States, and to date 83% of total revenue in 2024 was from the USA, 7% from the UK, and the remaining was the sum from the other dozen countries. One factor contributing to the success of Verisk has been its market dominance, as the top 100 property & insurance companies in the US all use its products, along with 18/25 top reinsurance companies. If Verisk is able to replicate the success it has seen in America in other countries this will show the market that its current discount is not warranted, hence resulting in an increase to the share price.

Risks

1) Competitive Pressure & Data Availability Risk

Verisk operates in increasingly competitive insurance analytics markets where larger, better-resourced competitors may erode its pricing power and market share in specific market segments over time. While Verisk has a huge data moat stemming from the sheer size of its data storage, it competes against large firms such as Moody and LexisNexis and faces the threat of new competitors or alliances. Additionally, the increase in the availability of free or relatively inexpensive information may decrease demand for Verisk services as potential customers choose to rely on the public information instead

2) Innovation Execution & Long Sales Cycle Risk

Failure to maintain pace with evolving underwriting needs, AI-enabled competitors, or changes in the workflows of insurers can lead to decreased relevance of Verisk products over time. In addition, significant undetected errors or delays in new solutions may affect market acceptance of Verisk solutions and consequently hurt the company. Verisk has previously experienced delays in introducing new solutions, which could resurface and reduce revenue. Furthermore, Verisk typically faces a long sales cycle to secure new contracts that require significant resource commitments, resulting in a long lead time before revenue reflects new clients.